

# Progress & Poverty

Henry George 1839-1897

‘The remedy’

# The Single Tax

‘We may safely leave them the shell if we take **the kernel**’

*Progress and Poverty, 1879, Book VIII, Chapter II*





# Location Value

David Ricardo, 1772- 1823

‘If all land had the same properties, … no charge could be made for its use, unless where it possessed **peculiar advantages of situation**.’

*On the Principles of Political Economy and Taxation, 1817*

# We know what this means, and are willing to pay more for it

The Outstanding School

A Sea view

Living close to the station








# Wealth comes from work on land

Richard Cantillon c.1685 – 1734

‘The Land is the source or matter from whence all wealth is produced. The Labour of man is the form which produces it.’

*Essai sur la Nature du Commerce en General, 1755*



# Efficient taxation

‘The annual produce of the land and labour of the society, the real wealth and revenue of the great body of the people, might be the same after such a tax as before. Ground-rents, and the ordinary rent of land, are, therefore, perhaps, the species of revenue which can best bear to have a peculiar tax imposed upon them’

*Wealth of Nations, 1776, Book V, Chapter 2*





# Nationalise the land, keep the rent

Karl Marx, 1818- 1883

‘incidentally, another thing I have been able to sort out is the shitty rent business’

letter to Engels, 1862





# The East India Company

The early Colonial administrators offered 25-year leases to the highest bidders:

Singapore: 1819/1823 – Sir Stamford Raffles

Hong Kong: 1841/1842 – Captain Charles Elliott

# Jardine Matheson & Co – the agglomeration effect

‘It must be noticed, that the proximity of that firm gave an additional value to the land in its vicinity…’



| LOTS. | SQUARE FEET. | KNOCKED DOWN TO | PRICE. £ | s. |
|---|---|---|---|---|
| 13-14 | 10,800 | W. & T. Gemmell & Co. | 52. | 10 |
| 12-13 | 10,693 | Holliday & Co. | 58. | 10 |
| 11-12 | 11,200 | H. Rustomjee. | 52. | 0 |
| 10-11 | 9,600 | " | 52. | 0 |
| 9-10 | 8,400 | Reserved. | — | |
| 8- 9 | 8,100 | Dirom & Co. | 57. | 0 |
| 7- 8 | 7,500 | Pestonjee Cowasjee. | 50. | 0 |
| 6- 7 | 6,300 | Hooker & Lane. | 45. | 0 |
| 5- 6 | 5,400 | Dadabhoy Rustomjee. | 30. | 0 |
| 4- 5 | 6,900 | Dent & Co. | 65. | 10 |
| 3- 4 | 7,800 | " | 64. | 0 |
| 2- 3 | 7,000 | Lindsay & Co. | 80. | 0 |
| 1- 2 | 6,700 | Gribble, Hughes & Co. | 80. | 0 |

The sale was now moved to the ground that had been cleared by Messrs. Jardine, Matheson & Co., and which was for the most part occupied by their temporary buildings; and it must be noticed, that the proximity of that firm gave an additional value to land in its vicinity. The first lot put up was No. 20, upon which, as already noticed, a house was already in progress. Mr. Matheson begged that this might not impede bidders, and offered at once £350 (the upset price being £10) at which it was knocked down. The two adjoining lots were, after some competition, knocked down to him also at £182 and £230. The remaining ones in that locality were sold at £160, £140, £150, and £111. Prices then began to fall, and the six lots between this spot and what is now called Spring Gardens, ranged from £25 to £67, and all of them except one afterwards leased to Government.

* See Introduction, antè p. 8.

† Chap. vi., p. 131.

# Hong Kong 1960/2025

Nonetheless, public revenue from land value contributes between 30 and 35% of operating revenue every year





# Lee Kuan Yew, 1923-2015

A committed Socialist, a lawyer defending Trades Unionists, understood from Harold Laski, that power is conferred by ownership of land…



# Land Acquisition Act 1966, and development



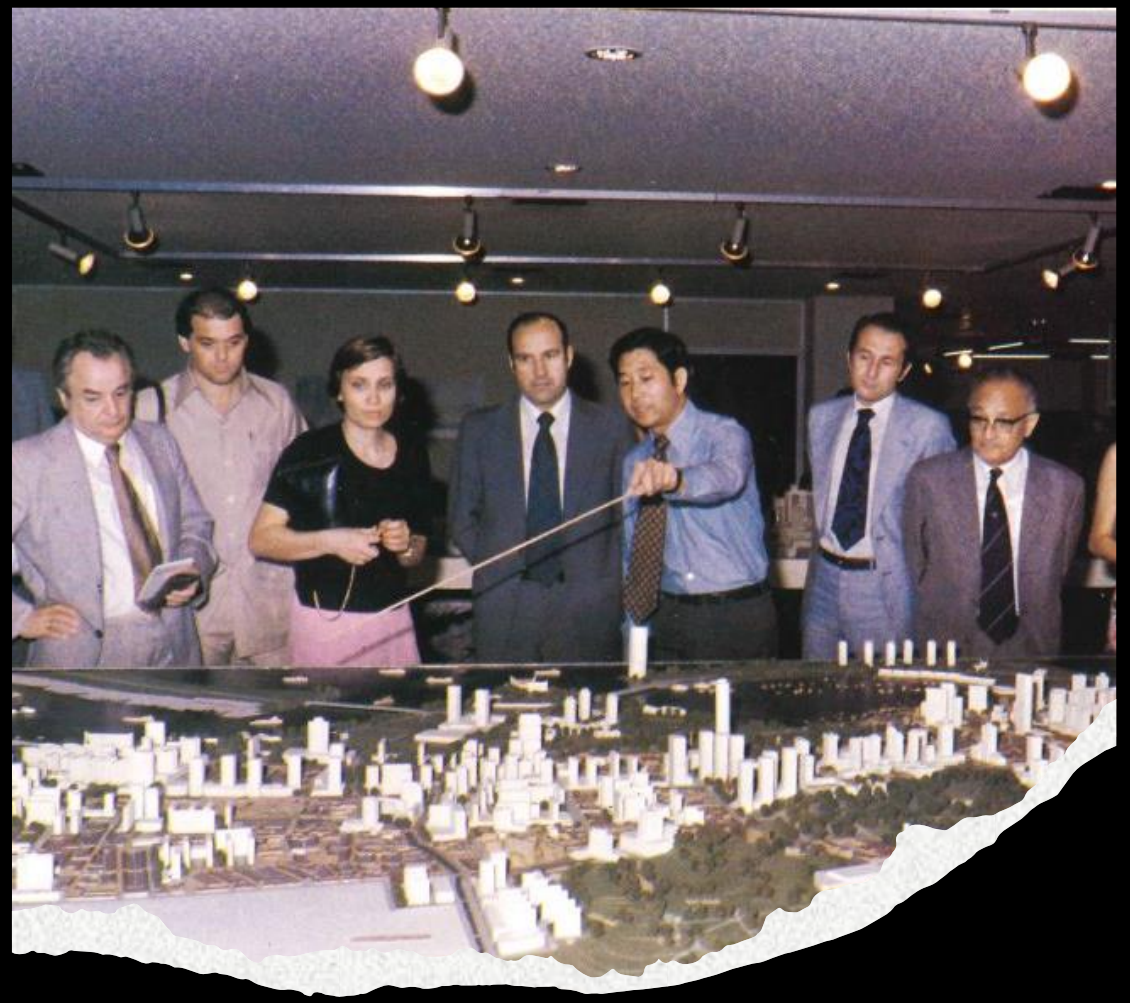

‘I said then that I would introduce legislation which would help to ensure that increases in land values, because of public development, should not benefit the landowner, but should benefit the community at large.’

Lee Kuan Yew, Second reading, Land Acquisition Act 1966

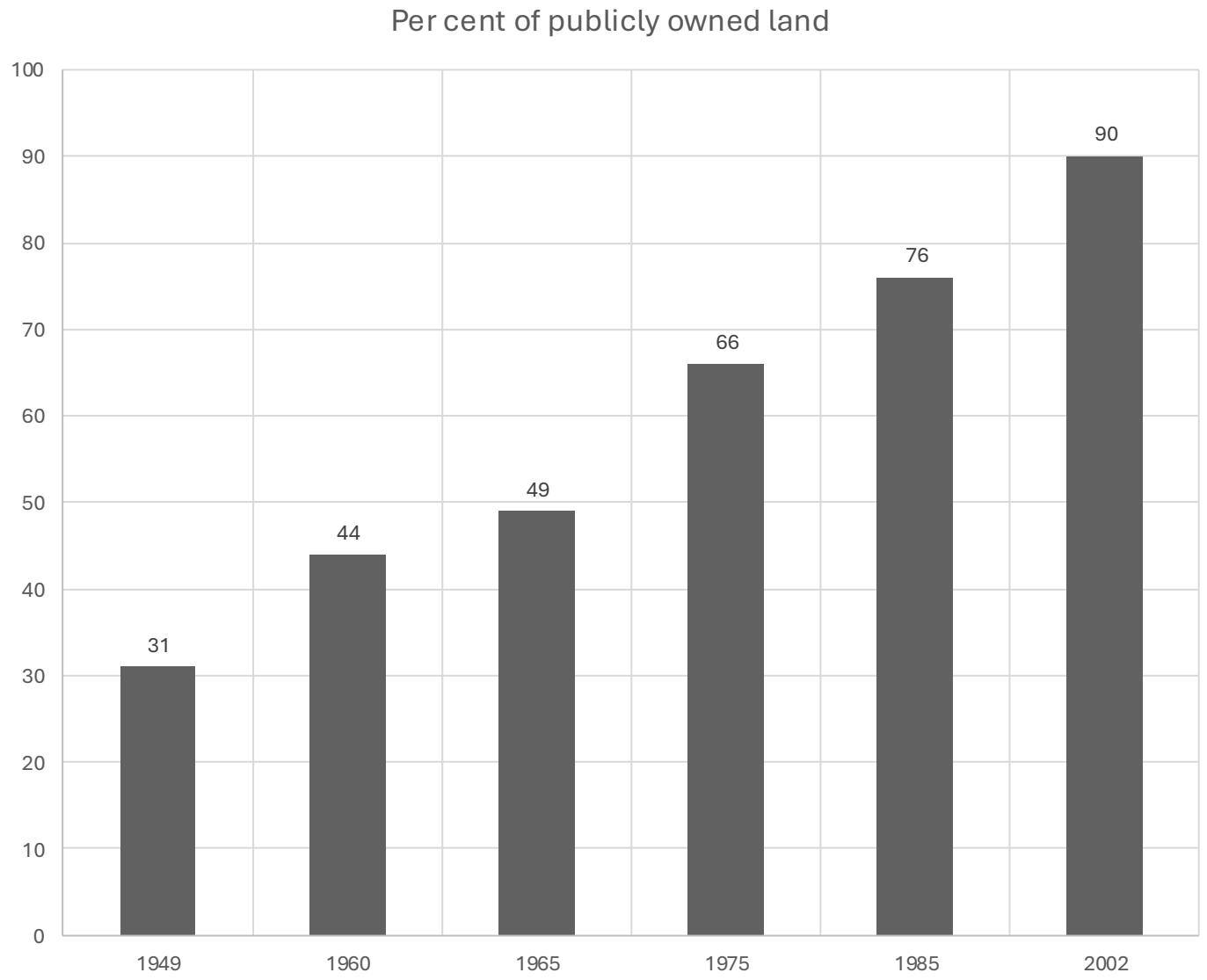
Erik Lorange, (Norwegian Town Planner), advised:

‘the necessary legislative basis for compulsory acquisition of land for all kinds of planning purpose must therefore be secured’

Lorange, 1962, UNDP report, page 27



# The increase in state ownership of land, Singapore 1949 - 2002





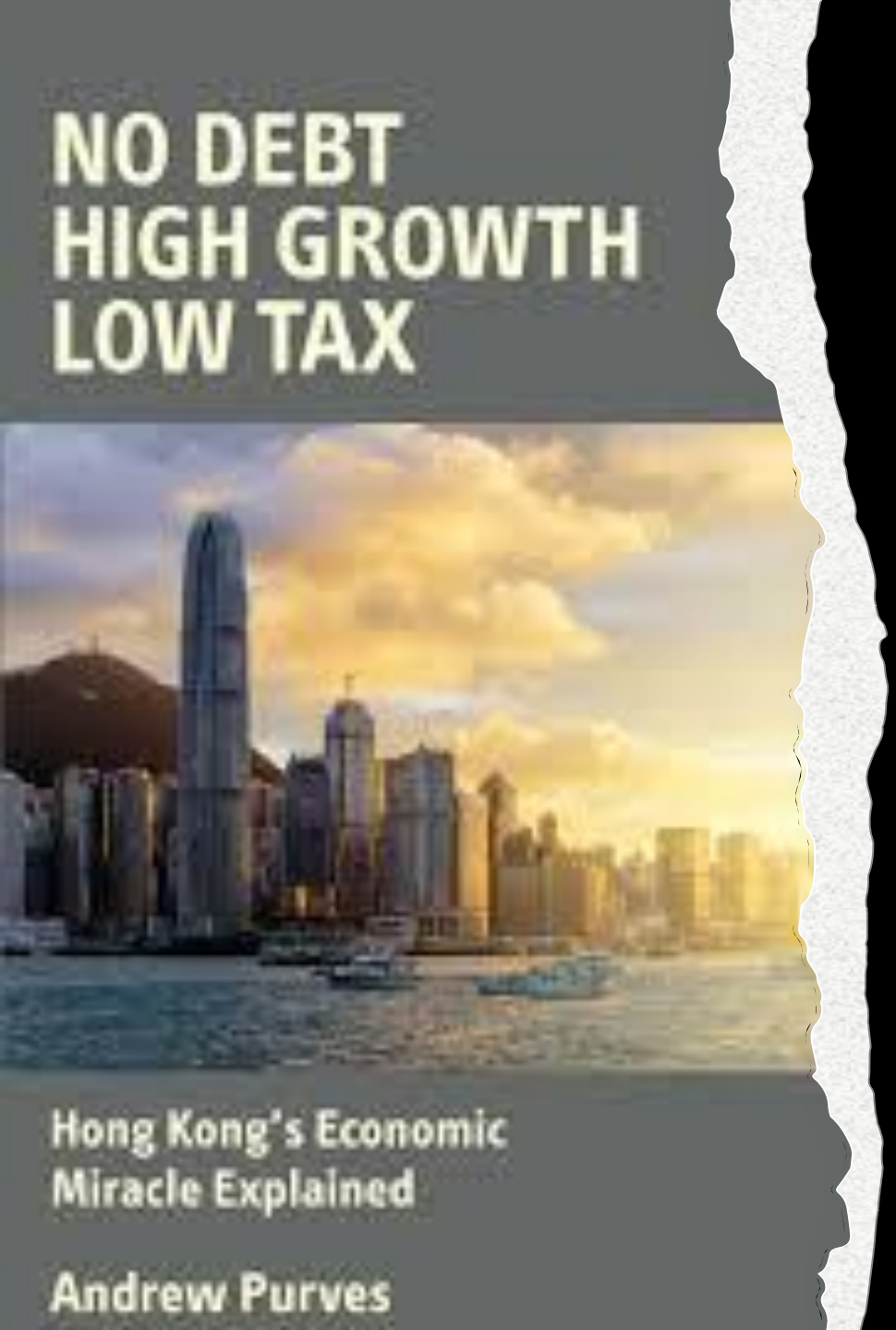
# Growth and prosperity…

Overtaking the coloniser

# Growth and prosperity…



Collecting the rent, otherwise lost to private accumulation of property wealth (unearned income)




Second edition on its way, with new chapters on Singapore

50% of public revenue comes from land value.

Investment income contributes 20% to the operating budget.



# A different authority?

Leon Walras, 1834-1910

Advocated the state purchase of all land, then leasing it to the highest bidder in return for an annual rent, and the abolition of all other taxes…

*Studies in Social Economics* 1896, Translated 2010

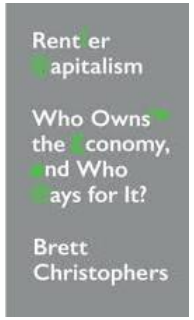
# The Property State

Anne Haila, 1953-2019

‘what happens in Singapore has a lot to do with land’

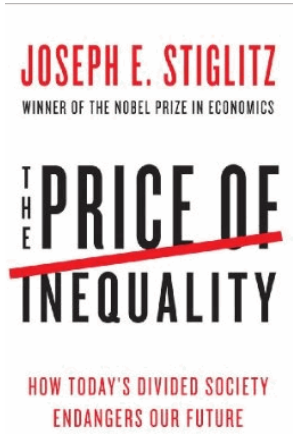
*Urban Land Rent, Singapore as a Property State*, 2016

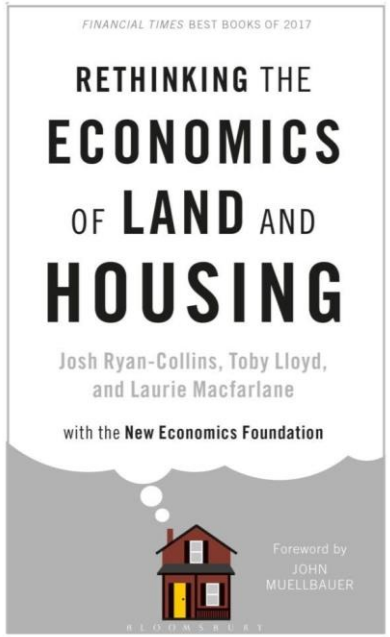











# Rediscovering the place of land in the economy

